

NATO leaders to gather in Ankara, aim to ease tensions with Trump

Andrew Gray
Brussels, July 3

NATO LEADERS gather next week in Ankara, where Europeans aim to set aside strife with US President Donald Trump over Iran and Greenland and show they are stepping up to defend the continent as Washington cuts back on its commitments to the alliance.

NATO Secretary General Mark Rutte says the gathering next Tuesday and Wednesday will show Europeans are honouring pledges to hike defence spending to deter Russia from any attack, with arms deals worth tens of billions of dollars to be signed.

Leaders are also expected to vow to keep funding weapons for Ukraine's fight against Russia's invasion. Ukrainian President Volodymyr Zelenskyy will attend a dinner hosted by Turkish President Tayyip Erdogan, who will also hold bilateral talks with Trump.

European officials say they hope Trump's strong relationships with Erdogan and Rutte will ensure a smooth summit but cannot be sure, given lingering transatlantic bitterness over the Iran war and the US president's frequent criticism of NATO.

In a Truth Social post on Thursday, Trump complained the United States was spending money to protect NATO members "without getting any benefit from so doing".

Rutte and other NATO leaders have insisted the alliance contributes to the United States' own security and that Europeans are heeding Trump's longstanding calls to spend more on their own defence.

REUTERS

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All the topics of this UPSC IAS Edition are directly or indirectly important for the prelims & main examination.

There are some topics which can be coded in answer writing of other topics in the main exam.

Deaths surged 29% in France amid record June heat: Health agency

John Leicester
Paris, July 3

DEATHS SURGED by nearly a third in France during the hottest week of a record heat wave last month, the country's public health authority said Friday, reporting at least 2,000 more deaths than in the previous week when temperatures were already climbing and filling emergency wards with heat victims.

The new and still incomplete figures from Public Health France doubled its first preliminary estimate of at least 1,000 additional deaths that it gave last Sunday. That earlier estimate covered just three of the hottest days of extreme, deadly heat.

In Paris, funeral service directors have said they've struggled to find places to store bodies before burial or cremation, with some mortuaries saying they were full and having to



Parisians bathe in the Canal Saint-Martin. FILE/AP

turn bodies away.

The updated tally of deaths from Public Health France spans the week of June 22 to June 28, during which France saw its hottest-ever days and records shattered for peak daytime and nighttime temperatures in many cities and towns across the country. The heat also broke temperature records in many other parts of Europe.

Public Health France said it has counted 8,973 deaths so far

for that week, cautioning that the number is still only partial. It said the preliminary total was 29% more than the 6,948 deaths registered for the previous week of June 15 to June 21, when the heat wave started.

The difference between the two sets of figures — a total so far of 2,025 — is therefore considered to be additional deaths from one week to the next, from all causes and covering all age groups, it said.

AP

Rescue op launched to save NASA telescope that's falling back to Earth

Marcia Dunn
Florida, July 3

A THREE-ARMED spacecraft rocketed into orbit Friday to rescue a NASA telescope that's in danger of crashing back to Earth. Northrop Grumman launched Katalyst Space Technologies' Link spacecraft from the Marshall Islands in the Pacific. The Pegasus rocket blasted off from the belly of a modified airplane, putting Link on course to reach and capture NASA's Swift Observatory in about a month.

Launched in 2004, Swift is sinking faster than ever be-

cause of recent solar storms. NASA is paying \$30 million for Katalyst to capture the telescope and boost its orbit so it can continue tracking some of the biggest explosions in the universe, like gamma ray bursts and exploding stars.

If all goes well, Swift could be back scanning the cosmos by September. Observations are currently on hold to preserve the telescope's orbit as long as possible.

NASA's Hubble Space Telescope could be a candidate for a similar salvage operation in a few years. It's also slipping in altitude because of increased at-

mospheric drag caused by the sun's outbursts.

The 1.6-tonne (1.4-metric tonne) Swift currently is circling 224 miles (360 kilometers) above Earth. Katalyst aims to raise the telescope's altitude by 150 miles (240 kilometers), back to where it all began. Link's thrusters will fire to boost Swift slowly, so there's no heavy jostling.

Katalyst threw the mission together in just nine months. NASA insisted on a rush job because the telescope will be too low to recover by the fall. Without a boost, it's predicted to plunge to its demise in October.

AP

• HEALTH

Antibiotics to creams: The perils of combination meds



EXPERT EXPLAINS
KAMINI WALIA

SENIOR SCIENTIST AT INDIAN COUNCIL OF MEDICAL RESEARCH

THE GOVERNMENT has banned 16 fixed-dose combination (FDC) drugs, including certain antibiotic combinations and a range of dermatological products containing aloe vera and other herbal ingredients, because their supposedly amplified benefits lack scientific justification.

FDCs contain two or more active ingredients in a single formulation and are commonly prescribed for conditions ranging from infections to pain and skin ailments. While some combinations are evidence-based and improve patient outcomes, others are considered “irrational” because there is little or no scientific evidence that the ingredients work better together than when used separately. “Public health experts have long warned that irrational combinations can expose patients to unnecessary drugs, increase costs and, in the case of antibiotics, contribute to antimicrobial resistance. The last is a growing public health problem because bacteria, viruses, fungi, and parasites no longer respond to the medicines designed to kill them,” **Dr Kamini Walla**, senior scientist at the Indian Council of Medical Research, tells **Rinku Ghosh**.

What is an ‘irrational’ FDC?

An FDC is considered irrational when the ingredients do not have a scientifically established rationale for being combined in a single product. For a combination to be considered rational, each component should contribute meaningfully to the intended therapeutic effect, have compatible pharmacological properties and demonstrate additional clinical benefit compared to using the individual medicines separately. In many cases, there is little to no evidence from clinical trials to support the combination.

One of the banned products combines amoxicillin and serratiopeptidase. Why have experts objected to this?

Serratiopeptidase is a proteolytic enzyme, which breaks down proteins. The evidence supporting its use alongside anti-

• HOW FDCs ARE REGULATED AROUND THE WORLD

U.S.: All FDCs require a new drug application with clinical evidence of superiority or convenience over mono-components.

WHO: WHO explicitly cautions against irrational FDCs. Those in the essential

medicines list are evidence-based.

INDIA (PRE-REFORM): Thousands of FDCs were approved by state licencing authorities without central review, exploiting a regulatory loophole in the Drugs & Cosmetics Act.

INDIA (POST-2016): Around 6,000 FDCs were reviewed by a committee; bans have been initiated.

EUROPEAN UNION: Full scientific review of FDCs; they can be justified only with clinical data.

Some popular combination drugs

NORFLOX TZ
(combination of norfloxacin and tinidazole)

- If you just have bacterial diarrhoea, taking tinidazole is pointless.
- If you have amoebic dysentery, norfloxacin provides zero benefit.
- Patients rarely suffer from bacterial and protozoal infections simultaneously. But exposure unnecessarily promotes bacterial resistance.

AUGMENTIN 625 (combination of amoxicillin and clavulanic acid)

- Clavulanic acid blocks enzymes that certain resilient bacteria produce to destroy amoxicillin.
- But if the bacteria causing your infection are not resistant, the clavulanic acid is useless.

COMBINATION CREAMS
(combining a steroid and an anti-fungal)

- While they provide temporary relief from itching and redness, steroids suppress the skin’s local immune response.
- This can cause the underlying fungal infection to worsen, spread, or become resistant to treatment.



- DR KAMINI WALIA

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iotics is extremely limited. The enzyme is acid-labile, meaning it can be degraded in the stomach before reaching the bloodstream. There is no evidence that shows adequate therapeutic concentrations reach infected tissues. No peer-reviewed randomised controlled trial has shown that adding serratiopeptidase improves bacterial clearance, increases cure rates or reduces the amount of antibiotic required.

Some proponents argue that it may help antibiotics penetrate biofilms or inflamed tissues more effectively. However, this hypothesis is largely based on laboratory studies and has not been convincingly demonstrated in human clinical studies. No major treatment guideline currently recommends serratiopeptidase as an adjunct to antibiotics for managing infections.

What about popular combination drugs in use?

Take the case of the antibiotic Norflox TZ (a combination of norfloxacin and tinidazole). If you have purely bacterial diarrhoea, taking tinidazole is pointless. Conversely, if you have amoebic dysentery, norfloxacin provides zero benefit. Patients rarely suffer from bacterial and protozoal infections simultaneously. But exposure unnecessarily promotes bacterial resistance.

Doctors often caution against the misuse of Augmentin 625 (a combination of

amoxicillin and clavulanic acid). The clavulanic acid acts as a barrier to block enzymes that certain resilient bacteria produce to destroy amoxicillin. But if the specific bacteria causing your infection are not resistant, the clavulanic acid is useless.

Could such antibiotic combinations contribute to antimicrobial resistance?

When combinations are marketed as being more effective without sufficient evidence, they may encourage unnecessary or prolonged antibiotic use. This increases antibiotic exposure in the community and creates selective pressure on bacteria, allowing resistant organisms to survive and multiply. From a public health perspective, antibiotic use should be as targeted and evidence-based as possible.

Many aloe vera-based dermatological combinations have also been banned. Why were these products considered irrational despite being sold for years?

Longevity in the market does not establish scientific validity. Many of the banned dermatological combinations contain multiple ingredients such as aloe vera extracts, vitamin E, jojoba oil, olive oil, tea tree oil and other moisturising or herbal components. The key question is whether combining these ingredients provides a

measurable clinical benefit compared with using them individually. In many cases, robust scientific evidence demonstrating superior efficacy is lacking. Take the case of combination creams containing both a steroid and an antifungal. While they provide temporary relief from itching and redness, steroids suppress the skin’s local immune response, which can cause the underlying fungal infection to worsen, spread, or become resistant to treatment. Regulatory decisions are based on scientific evidence and risk-benefit assessments, not how long a product has been available commercially.

What risks do patients face when using irrational FDCs?

Patients may be exposed to unnecessary drugs, increasing the possibility of adverse effects, drug interactions and allergic reactions. Fixed combinations can also make it difficult for doctors to adjust the dose of individual ingredients according to a patient’s needs. If a doctor wants to increase the dose of one medication, they cannot do so without overdosing on the other. Besides, such drugs may mask an underlying complication, reducing precision treatment.

What should patients, doctors and pharmacists do now that these products have been banned?

Patients should understand that a medicine containing multiple ingredients is not necessarily more effective than a targeted treatment. In fact, a simpler medicine supported by strong evidence is often the safer and more effective option. Patients currently using any of the banned products should consult their doctor about appropriate alternatives. Stopping an irrational FDC does not mean stopping treatment; safer and evidence-based alternatives are available.

For doctors, the focus should be on de-escalating patients to rational therapies and prescribing medicines supported by clinical evidence. Pharmacists should remain aware of the drug regulator’s list of banned FDCs, flag irrational prescriptions where appropriate and educate patients about available alternatives.

Should we team up vitamins and probiotics with antibiotics?

There is no definitive evidence of them being indispensable. While probiotics may be advised by doctors on a case-specific basis, vitamins may not be needed, except by those in a vulnerable group. Antibiotics have a limited dosage; you may not need vitamins for a short spell. Consult your doctor.

• LEGAL

Madras HC bans cow slaughter; TN laws mandate only regulation

Amaal Sheikh
New Delhi, July 3

THE TAMIL Nadu government has moved the Supreme Court against a Madras High Court order directing authorities to ensure that “no cow or calf is slaughtered on the eve of Bakrid or on any other day”. The state has argued that the HC imposed a “blanket ban” even though the petition before it was confined to preventing cow slaughter in public places. Tamil Nadu also contended that the order was contrary to the state’s statutory framework, which “only provides for regulation and not prohibition”.

What Madras HC said

A member of an unregistered outfit filed a representation on May 18 asking authorities to prevent cow slaughter “in public places” during Bakrid. Later, a writ petition was filed seeking a direction to consider that representation and act against slaughter in public places. A single judge sent the matter to a division bench of Justices G R Swaminathan and V Lakshminarayanan, treating it as a PIL.

Police told the court in a counter-affidavit that a temporary shed had already been set up for *qurbani* “in a non-public area”, without obstructing traffic or offending the religious sentiments of other communities. The bench read this as a concession that the arrangements were compliant.

But the order went further, with the bench holding that sacrificing a cow was not obligatory for Bakrid. It read out the Tamil Nadu Animal Preservation Act of 1958 which permits slaughter only with a certificate showing that the animal is “over ten years of age and is unfit for work and breeding”. It also invoked a Tamil Nadu Government Order (GO) banning cow slaughter in slaughterhouses to increase milk production. The bench held that “the authorities cannot permit slaughter of any animal in a place other than designated slaughter houses” and that “no cow or calf is slaughtered on the eve of Bakrid or on any other day” — creating a blanket direction.

State’s appeal

The petition argued that the HC’s order arose from a petition seeking only a direc-

Conditional permit

- The Tamil Nadu Animal Preservation Act of 1958 permits slaughter of certain bovine animals after the issuance of a certificate.
- The animal must be ‘over ten years of age and... unfit for work and breeding’.

tion to prevent the slaughter of cows in public places. The court, nevertheless, imposed “an absolute and blanket ban on the slaughter of cows and calves” — relief that was not sought by the petitioner.

The appeal also pointed to what it called an inconsistency within the judgment — one part recognises that slaughter may take place in designated slaughterhouses, while another part prohibits it altogether.

The plea noted that the GO previously referred to was never relied upon by the original petitioner. This GO, incidentally, was passed in August 1976 when the state was under President’s Rule.

Tamil Nadu’s plea said of the order: “An executive instruction/government order cannot be in contravention or inconsistent with the statutory provisions” and cannot override legislation enacted by the legislature. The appeal also took issue with the HC’s discussion of whether cow sacrifice is required during Bakrid, saying it was “wholly extraneous” in relation to the current case. The petition pointed to the economic consequences of a blanket ban on licensed traders and allied sectors.

Tamil Nadu’s laws

Section 4 of the Tamil Nadu Animal Preservation Act, 1958, says certain animals cannot be slaughtered unless a competent authority issues a certificate for it, subject to certain conditions. The government’s petition argues that “from the scheme of the Act, it is crystal clear that what is contemplated is only the regulation of animal slaughter, and that there is no ban on animal slaughter”. It also cited municipal laws, such as The Tamil Nadu Urban Local Bodies Act, 1998, which requires local authorities to provide slaughterhouses, as proof of regulation and not prohibition under the law.

Tamil Nadu also relied on central legislation. Under the Prevention of Cruelty to Animals Act, 1960, the Animal Welfare Board is empowered to advise governments and local authorities on the design, maintenance and operation of slaughterhouses. “The very fact that the Central Government has framed an exhaustive set of Rules for the purpose of regulating the practice of animal slaughter and the recognition of slaughterhouses shows that animal slaughter is not a prohibited activity,” the petition stated.



• WILDLIFE

Govt’s plan to revive struggling tiger reserves

Nikhil Ghanekar
New Delhi, July 3

AN EVENT marking the 18th anniversary of tiger reintroductions at the Sariska Tiger Reserve in Alwar, Rajasthan, last month saw the Centre release two new assessments. The first was a road map to manage tigers going forward and the second reflected on the lessons learnt from 12 reintroduction initiatives in India.

It has been argued that beyond simply counting over-all numbers, the focus should be on national parks and reserves with a low number of tigers. To aid the recovery of big cats, parks with poor habitats and prey availability have also been included. This, the Centre said, will also aid the dispersal of tigers from places which have reached peak carrying capacity towards newer habitats.

Numbers rise, but only in pockets

India’s tiger population has risen steadily. From 1,411 in 2006, there are now 3,682 tigers in 2022 across 58 tiger reserves, spread across 85,000 sq km. The numbers, however, do not reveal the full story.

Of the 58, 10-12 reserves alone account for about 36% of the population. There are 12 tiger reserves with less than three tigers inside and of them, three — Kawal, Kamlang and Dampa — have zero tigers.

As the density of tigers increases, they disperse to

A MIXED RECORD

- Sariska, which had previously lost all its tigers, was the first to undertake reintroduction in 2008. Panna in MP followed suit in 2009 — 10 more reserves have done so since then.
- The Centre acknowledged failure in Odisha’s Satkosia owing to rejection by local communities, besides slow and lethargic progress in Rajasthan’s Mukundara Hills.

buffer areas, territorial divisions and mixed-use land. This often puts them in conflict with humans while increasing their dependency on livestock on these fringes, besides elevating the risk of poaching, and mortality while crossing railways, roads and canals.

Parks with low tigers, however, may have intact forests but are also low on prey. Neither situation is ideal.

The unevenness between “source populations” (where habitat, prey and tiger numbers are high) and “sink populations” (where there are no breeding tigers or connectivity with healthier forest) poses a challenge for long-term conservation.

The Centre’s latest assessment calls for consolidating “source populations” in 13 tiger reserves such as Corbett, Bandipur and Kaziranga. It has suggested the need for priority interventions in at least 25 reserves, including reintroductions where less than five tigers remain.

Need for ‘recipient sites’

Tiger population growth has sustained at 6% annually. Uneven growth, however, means that regions with high density are facing the pressure of managing dispersing tigers outside forests, human-wildlife conflict and poaching pressures. This comes even as vast forests are bereft of tigers. This situation arises due to the fragmentation of forested areas, tigers being discouraged to move across long distances, poor prey in sink areas forcing tigers to vacate them and external pressure from human activities. A well-connected landscape of forests across tiger reserves, territorial forests, mixed-use areas is key for establishing a metapopulation, helping in genetic exchange and reducing extinction risk in the long-term.

The assessment notes that long-term recovery of tiger populations depends on the interplay of prey abundance, habitat quality and colonisation by tigers themselves.



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IE, VADODARA

Four Chinese firms with factories in India cleared to bid for power projects

Finance says exemption should not be treated as precedent for other companies

Pratyush Deep
New Delhi, July 3

THE FINANCE Ministry has allowed four Chinese power equipment manufacturing companies with factories in India to participate in government tenders for critical power projects.

The four firms — TBEA Energy, Nanjing Electric India, New Northeast Electric India and Taikai Electric (India) — have been exempted from the provisions of the public procurement rules. These rules require entities from countries sharing a land border with India to register with the relevant Indian authority to be eligible to bid in the procurement of goods, services, or works.

The June 24 order, issued by the expenditure department in the Ministry of Finance, however, clarified this exemption would be valid for two years

from the date of issuance and “may not be considered as a precedent”.

The Ministry of Power had in January this year sought the exemption for certain entities with manufacturing units in India for critical power projects from participating in government procurement.

Querries sent to the Ministry of Finance and Ministry of Power did not elicit a response.

The exemption was given after deliberation by the committee of secretaries (CoS) and was based on recommendation of the ‘registration committee’ constituted under the Department for Promotion of Industry and Internal Trade (DPIIT) that vets and clears the registration process for applications after restrictions were placed on Chinese entities.

These restrictions were introduced in 2020 in the aftermath

»CONTINUED ON PAGE 2

1991 Act doesn’t bar takeover of worship place for public use: Allahabad HC

Apurva Vishwanath
New Delhi, July 3

THE PLACES of Worship (Special Provisions) Act, 1991 does not bar the government from acquiring places of worship for public purposes, the Allahabad High Court said Thursday while dismissing a writ challenging the acquisition of six mosques in Varanasi’s Dalmandi Street for expansion of the Kashi Vishwanath Dham Corridor.

A bench of Justice J J Munir and Justice Arun Kumar said, “The Act of 1991 does not prohibit the Government from acquiring religious land for larger public purposes. Under the Act of 2013, the Government has the sovereign power to acquire any property, including religious property, for public

»CONTINUED ON PAGE 2

Revising Ladakh talks record, Centre gives elected leaders control over UT bureaucracy

Deeptiman Tiwary & Srirupa Goswami

New Delhi, July 3

DAYS AFTER Ladakh observed a shutdown over what its leaders alleged were omissions in the official record of their talks with the Centre, the Ministry of Home Affairs (MHA), moving to address concerns over the government’s commitment to its assurances, has incorporated key provisions in the final minutes of the May 22 meeting that resulted in a breakthrough after months of protests and negotiations.



Ladakh Lieutenant Governor Vinai Kumar Saxena inaugurates an indoor sports facility at Chuchot Gongma, Friday. PTI

The revised minutes, endorsed at a follow-up meeting in Leh Friday, include a clause stating that the proposed elected executive body for Ladakh will exercise “control and supervision, including Annual Performance Appraisal Report (APAR)” over civil servants handling subjects under the jurisdiction of the proposed Union Territory-level elected body — one of the principal demands raised by the Apex Body, Leh (ABL) and Kargil Democratic Alliance (KDA).

The inclusion marks a

»CONTINUED ON PAGE 2

[FROM PAGE 1 | FULL REPORTS ON WWW.INDIANEXPRESS.COM]

4 firms

of a violent clash between Indian and Chinese troops along the Line of Actual Control. The provisions required Chinese bidders to obtain mandatory political and security clearances from the Ministry of External Affairs and Ministry of Home Affairs.

The clearances to the power firms comes nearly three months after the government announced calibrated changes in the Foreign Direct Investment (FDI) policy for investments from Land Bordering Countries (LBCs), or those that share a land border with India. The changes were made six years after the government made prior approval mandatory for Indian entities receiving investments from LBCs in April 2020. The changes, introduced through a document known as Press Note 3 or PN3, were to curb potential takeovers of local companies during the slump in equity valuations around Covid-19.

All four firms, which have been granted exemption, manufacture key power sector equipment such as transformers, wires, high-voltage switch gear, and gas-insulated switchgear which are used in transmission lines. In its website, New North-east Electric India shows at least 11 transmission line projects across India.

Since early 2000, Chinese companies have made inroads into India's growing power sector market, especially in supplying generation equipment for thermal power plants. During this period, China's three major power generation equipment manufacturers, China Dongfang Electric Group, Shanghai Electric Group and Harbin Electric Group, had become bulk exporters to the Indian market.

Availability of Chinese tech and expertise has been crucial for Indian industry, especially in generation and transmission projects. Last year, the industry had sought an easing of the visa norms for Chinese technicians as several projects were stuck due to lack of expert manpower. Industry representatives had said the delay in visa approval is hurting the manufacturing industry including the leather sector which is increasingly shifting to sports footwear. Having imported and installed Chinese machinery, the domestic industry said it was unable to operationalise plants due to visa hurdles.

The Indian industry needs Chinese professionals since it is heavily dependent on China for crucial parts in most electrical and electronic segments. Official data shows that out of the nearly \$112 billion worth imports from China, nearly 60 per cent comprised engineering and electronic items, and these also play a key role in fulfilling India's export orders.

Ladakh

departure from the earlier draft minutes circulated by the MHA after the May 22 meeting, which Ladakh leaders had refused to sign, alleging they omitted crucial understandings reached during negotiations.

It had triggered a political standoff, culminating in a complete shutdown across Ladakh on June 23 called jointly by the ABL and KDA. The groups had accused the Centre of backtracking on commitments and described the draft minutes as not reflecting the actual discussions held with MHA officials.

According to the finalised minutes, representatives from Ladakh reiterated their demands for statehood, Sixth Schedule status, a separate Ladakh Administrative and Police Service, and withdrawal of cases related to the September 24,

2025 protests.

The minutes note that while statehood would remain Ladakh's "long-term aspiration", both sides agreed that, as a first step, a customised model of self-governance would be created through a Union Territory-level elected body with executive, financial and legislative powers.

Significantly, the document records that the issue of bureaucratic accountability was discussed in detail. "It was agreed that in terms of functions and civil servants for the subjects under the purview of the UT-level elected body, the control and supervision, including APAR, will be exercised by the elected executive body. Further details will be finalised in future meetings as per the Transaction of Business Rules," the minutes state.

The final document also records that a customised constitutional safeguards model under Article 371 would be developed

for Ladakh. It says a "sui generis" model, drawing from the various provisions under Article 371, would be prepared, with a draft proposal on the powers and functions of the elected body to be fine-tuned in future meetings.

The minutes were finalised at a meeting Friday in Leh in the presence of Additional Secretary (MHA) Prashant S Lokhande, Chief Secretary Ashish Kundra, Ladakh MP Mohmad Haneefa, former MP Thupstan Chhewang, ABL co-chairman Chering Dorjay Lakrook, KDA co-chairman Asgar Ali Karbalai, Kargil Hill Council Chairman Mohd Jaffar Akhoon and other representatives.

The endorsement of the revised minutes is expected to revive the dialogue process between the Centre and Ladakh's civil society groups after weeks of uncertainty over the future of the negotiations.

Activist Sonam Wangchuk, who spearheaded the protests

for Ladakh's statehood and constitutional safeguards under the Sixth Schedule and was present in the May 22 meeting, told *The Indian Express*, "There's still time to reach an accord, but the issue is more or less resolved."

"The democratic setup will be tailor-made for Ladakh, in which elected representatives will have supremacy over bureaucrats in everything, basically, including their APRs (performance reports), which is true democracy," he said, at Jantar Mantar, where he has been on an indefinite fast over the alleged examination irregularities.

When asked about Ladakh's inclusion in the Sixth Schedule, he said, "Since Sixth Schedule status and full statehood were considered difficult currently, the Centre proposed a win-win solution. However, there were some blocks, they were resolved today, and now those measures will take effect, hopefully sincerely, without any ifs, buts..."

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PM on six-day tour of Indonesia, Australia, New Zealand from July 6

Divya A
New Delhi, July 3

AS DELHI seeks to bolster ties in the Asia-Pacific region, Prime Minister Narendra Modi is set to visit Indonesia, Australia and New Zealand next week, the Ministry of External Affairs (MEA) announced on Friday. Modi will reach Indonesia on July 6 and travel to Australia before concluding his trip with a visit to New Zealand on July 11.

Briefing reporters about the six-day visit on Friday, MEA Secretary (East) Rudrendra Tandon said the focus has shifted to the eastern maritime zones of the Indian Ocean and our Act East engagement after Modi's recent visits to Mauritius and Seychelles and Japan's PM Sanae Takaichi's New Delhi visit this week.

While the Prime Minister will hold bilateral talks with his counterparts in all three countries — Indonesian President Prabowo Subianto, Australian Prime Minister Anthony Albanese and New Zealand Prime Minister Christopher Luxon — diaspora engagements have also been planned in each



Secretary-East, MEA, Rudrendra Tandon, Additional Secretary (South) Prashant Agrawal, Joint Secretary (Oceania) Vishwesh Negi and MEA Spokesperson Randhir Jaiswal during a media briefing on PM Modi's three-nation visit, in New Delhi on Friday. ANI

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place, owing to a significant diaspora presence.

While an estimated 1.4 lakh people of Indian origin and non-resident Indians are in Indonesia, the number for Australia goes up to 9.7 lakh, and about 3 lakh in New Zealand.

In Melbourne, where PM Modi lands on July 8, besides participating in the third India-Australia Annual Summit, the Prime Minister is also expected to meet leaders from top Australian companies, as well as visit the Melbourne Cricket Ground.

Modi and his Australian counterpart, Anthony Albanese

held the 2nd India-Australia Annual Summit on the sidelines of the G20 Summit in Rio de Janeiro in November 2024. The first edition was held in March 2023 in New Delhi during the State Visit of PM Albanese.

India is one of Australia's largest trading partners, with defence cooperation among the key pillars of the ties. The discussions between the two sides will cover emerging areas of the bilateral relations, including critical minerals, cybersecurity, supply chain resilience and emerging technologies, as per officials. Along with Japan and the

United States, Australia is also a member of the Quad grouping, advocating for a peaceful, stable and prosperous Indo-Pacific Region, based on respect for international law.

During the Indonesia leg, while his main engagements will be in Jakarta, the Prime Minister will also visit the historical Prambanan Temple complex in Yogyakarta city, MEA officials said. India and Indonesia will be collaborating on the conservation of the temple, a UNESCO World Heritage site. The visit to Indonesia will be a continuation of the discussions on various bi-

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lateral tracks of cooperation that began when President Prabowo visited India as the Guest of Honour for the 2025 Republic Day celebrations, the MEA said.

The visit to New Zealand will be the first visit by an Indian Prime Minister in 40 years. It also comes in the wake of a free-trade agreement signed between the two sides in April. "Prime Minister Modi's visit is historic, with this being the first to New Zealand by an Indian Prime Minister in 40 years," New Zealand's Prime Minister Christopher Luxon said in a statement on Friday.

The visit reflects the growing momentum in the New Zealand-India relationship. Discussions between the leaders will include trade and investment, maritime security, education, technology, tourism, sport, and global issues, as per officials.

"This visit is about celebrating a winning partnership between New Zealand and India — one that delivers for our people and supports greater prosperity and security for both our countries. I look forward to welcoming Prime Minister Modi to New Zealand," PM Luxon said.

WILL BOOST COMBAT READINESS OF FORCES

Defence acquisition proposals worth Rs 52,000 crore cleared

Amrita Nayak Dutta
New Delhi, July 3

THE DEFENCE Acquisition Council (DAC) on Friday cleared a range of acquisition proposals worth about Rs 52,000 crore for the Armed Forces.

The proposals include Anti-Unmanned Aerial Vehicles (Anti-UAV) Electronic Warfare System named 'Akash Tarang', Medium Range Surface-to-Air Missile (MRSAM) Weapon System, Very Short Range Air Defence System (VSHORADS), Jet-Based Kamikaze Drone System for the Army, Naval Shipborne Unmanned Aerial System (NSUAS) for the Navy and Fixed-Wing Based High Altitude Pseudo Satellite (FW-HAPS) for the Indian Air Force, among others.

The DAC is the key defence body that grants Acceptance of Necessity (AoN) on all big-ticket capital procurements. The AoN is the first step in the defence procurement process. However, obtaining an AoN does not always lead to a final



Defence Minister Rajnath Singh with the new Chief of Army Staff, General Dhiraj Seth, in New Delhi on Thursday. PTI

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order. The DAC meeting on Friday, under the chairmanship of Defence Minister Rajnath Singh, took place after three months. The last DAC meeting was held in March this year, when a proposal to procure five additional S-400 Long Range Surface-to-Air Missile Systems from Russia was cleared.

The Ministry of Defence said the proposals to procure

Man Portable Anti-Tank Guided Missile (MPATGM) Systems and Active Protection Systems for Tanks have also been cleared for the Army. The MPATGM will help counter the adversary's mechanised threats; the MRSAM system will provide medium-range air defence against a variety of stand-off aerial threats; and the V-SHORADS with multi-spectral sensing will enhance

E. EXPLAINED

Multi-domain operations

THE LATEST DAC nod to a series of acquisitions reflects the military's need to procure modern and new technology systems to boost its combat capabilities, in line with the way India plans its future multi-domain operations. However, the journey from the DAC nod to an actual induction is a long process.

counter-measure resilience and effectiveness of the Army, the statement noted.

'Akash Tarang', it said, will provide effective anti-UAV protection to the Army Formations.

Additionally, the Active Protection System would improve the defence mechanism of tanks and enhance their survivability, and the Jet-Based

Kamikaze Drones would provide better electronic warfare capability with greater lethality and survivability while also being cost-effective.

The DAC also granted AoN for the procurement of Multi-Influence Ground Mine (MIGM), Naval Shipborne Unmanned Aerial System (NSUAS) and the setting up of Land-Based Testing Facility (LBTF) for Electric Propulsion System.

The MIGM will deny freedom of manoeuvre to the adversary. The NSUAS, equipped with advanced sensors, will enhance situational awareness of the Indian Navy. The LBTF will meet the testing requirements for motors and associated propulsion systems of the Indian Naval assets.

For the Indian Air Force, the procurement of FW-HAPS was approved among other proposals. The FW-HAPS will carry out persistent intelligence, surveillance and reconnaissance, telecommunication and remote sensing for the IAF, the statement noted.

MEA: India's position on IWT consistent

New Delhi: India's position on the Indus Waters Treaty is consistent and the Treaty stands in abeyance in response to Pakistan's continued support for cross-border terrorism, the MEA said Friday. "On the IWT, I would reiterate what we have said earlier as well. India's position on the Indus Waters Treaty is consistent," MEA spokesperson Randhir Jaiswal said while replying to a question on a seminar on the Treaty in Islamabad. PTI

The Chandigarh paradox: Why three states fight for a city that remains above the fray



NORTHERN LIGHTS

BY MANRAJ GREWAL
SHARMA

A WEEKLY DISPATCH ON
THE POLITICS AND IDEAS
SHAPING NORTH INDIA

LAST WEEK, Himachal Pradesh Chief Minister Sukhvinder Singh Sukhu was in Chandigarh on a mission: he met Punjab Governor and Chandigarh Administrator Gulab Chand Kataria to seek a 7.19% share in the UT, arguing that Himachal, carved out of the erstwhile Punjab in 1966, was entitled to it as a

successor state.

Earlier this year, Punjab CM Bhagwant Mann made Chandigarh the centerpiece of his Republic Day address, reiterating that Punjab would ensure complete control over the city.

This is a well-trodden arena. Four years ago, after Union Home Minister Amit Shah announced that the Central civil service rules will be implemented for all employees under Chandigarh Administration, replacing Punjab's, the AAP government convened a special Assembly session to pass a resolution seeking the city's immediate transfer. Haryana CM Nayab Singh Saini maintains that Chandigarh remains their joint capital, while pushing for land to build his state's separate Assembly building in the city.

Arc of a contested city

Six decades after it became

the joint capital of Punjab and Haryana, Chandigarh continues to be hotly contested. Yet, while governments continue to debate its ownership, the city itself has quietly evolved into something larger than a territorial prize.

Conceived after Partition as Punjab's replacement for Lahore, Chandigarh became Independent India's first planned city, designed from scratch by Swiss-French architect Le Corbusier. Its Capitol Complex, comprising the Assembly, Secretariat and High Court, now enjoys the UNESCO World Heritage status and has been among India's most significant architectural achievements.

Chandigarh's political future, however, was never settled. When Punjab was reorganised on the linguistic lines in 1966 into Punjab, Haryana and the hill areas that later became Himachal Pradesh, Chandigarh

was designated a UT and made the joint capital of Punjab and Haryana as an interim arrangement.

In 1970, then Prime Minister Indira Gandhi announced that Chandigarh would be transferred to Punjab while Haryana would receive the Fazilka tehsil, or equivalent territory, along with financial assistance to build a new capital. The proposal never took off.

Fifteen years later, the Rajiv-Longowal Accord revived the promise, fixing January 26, 1986, as the date for Chandigarh's transfer to Punjab after the exchange of certain Hindi-speaking areas. Militancy intervened, Sant Harchand Singh Longowal was assassinated, and the accord remained unimplemented.

That has not stopped successive governments from reviving the issue whenever political circumstances demand it. The city,

meanwhile, has moved on.

Today it forms the nucleus of the Tricity, a term coined by former Punjab Governor V P Singh Badnore, nestled between Mohali in Punjab and Panchkula in Haryana. People live in one city, work in another and socialise across all three.

Politically too, the region reflects India's diversity: the AAP governs nearby Mohali, Chandigarh has a Congress MP but a BJP-dominated Municipal Corporation, while Panchkula is represented by the BJP. Civic elections here are often viewed as an early indicator of political trends in Punjab.

Chandigarh has also developed a social character unlike that of most state capitals. Built over 22 villages of Punjab and sprawling mango orchards, it drew refugees, government officials, lawyers, professionals and entrepreneurs from across

India.

Justice M S Liberhan, who headed the Commission probing the demolition of the Babri Masjid, is among Chandigarh's few prominent residents whose family belongs to one of its original villages. Industrialist Rajendra K Saboo, later the first Indian president of Rotary International, recalls arriving from Kolkata as a 25-year-old to meet then Punjab CM Partap Singh Kairon, who immediately resized an industrial plot to meet the requirements of his German collaborators.

Soul of Chandigarh

The city's distinctive personality owes much to its first Chief Commissioner, M S Randhawa, who earned the sobriquet "Punjab's sixth river".

Apart from establishing the Rose Garden and starting the Government Museum and Art

Gallery with nearly 2,000 Pahari miniature paintings acquired from erstwhile Himachal royals, he personally supervised the planting and watering of amaltas, gulmohar, jacaranda and other trees that make the city so beautiful. Even today, many longtime residents can identify a sector simply by the trees lining its avenues.

At 94, Shivdatt Sharma, one of the few surviving members of Le Corbusier's team, continues to defend the city's original vision. A Partition refugee from Lahore who later trained as an architect, Sharma insists that Chandigarh's founding creed will endure even though the city planned for five lakh people, now houses over 12 lakh residents.

Ironically, the biggest battle over Chandigarh today is not about which state should own it but whether it can preserve the

core principles of sun, space and greenery that make it exceptional. Proposals for high-rise development in Manimajra and sectors south of Sector 30 have revived concerns about altering Le Corbusier's low-rise vision. The Punjab and Haryana High Court recently stalled the proposed flyover at Tribune Chowk, while lawyers successfully opposed the shifting of the High Court from the Capitol Complex to Sarangpur.

As Punjab heads to another Assembly election in about eight months, leaders cutting across party lines would once again use Chandigarh as an emotional bargaining chip to sway voters. The tragedy is that those shouting the loudest to stake claim to the city are the least equipped to preserve it. Sometimes, true wisdom lies not in possession, but in cherishing the city's soul. manraj.grewal@expressindia.com

At 250, the US can still reinvent itself — and the world

Europe must rethink how it will live with heat



POOJA
RAMAMURTHI

Portraying air conditioning as irresponsible ignores the reality that Europe has long accepted the carbon costs of winter heating

IN 2003, when a record-breaking heatwave hit Europe, several countries rushed to create national and city-level action plans. These were meant to be emergency responses to “once-in-a-generation” extreme weather events. Two decades later, high summer temperatures are no longer an anomaly in Europe. Over the past five years, all summers but one have seen severe heatwaves. The science is clear: Increasing carbon emissions are causing weather patterns to change, with Europe being the fastest-warming region. Heat stress has had repercussions for health, infrastructure and labour productivity. Estimates predict an excess of 2,000 deaths in Europe this summer. Railways have been disrupted and roads have melted. Germany and the UK have issued advisories to avoid non-essential travel. European heat action plans remain largely geared towards protecting people rather than ensuring that society continues functioning. Will Europe move towards seeing heatwaves as a broader infrastructure, productivity and agricultural issue?

Espoused by far-right politicians like Marine Le Pen, there are calls for Europe to become an “air-conditioned” society. AC penetration remains low, with only one in five households owning one. There has been opposition from environmentalists, saying ACs will lead to higher carbon emissions that cause more global heating. Yet portraying ACs as environmentally irresponsible ignores the reality that Europe has long accepted the carbon costs of winter heating. Space heating contributes to 10 per cent of global carbon emissions versus 3 per cent from space cooling. When there is a need, Europeans, too, consider comfort over emissions.

ACs also come with problems of equity, as seen in many Global South countries. The rich can adopt them while the poor cannot. Europe has some of the highest electricity costs, with 10 per cent of the population facing “energy poverty”. While vulnerable populations should be protected through ACs, this is not a universal solution. Issues of grid capacity to meet peak demand from space cooling must also be considered. As long as cheaper, sustainable alternatives exist, air conditioning need not be the only answer.

In the Global South, disruptions and failings in infrastructure are often criticised as resulting from a lack of adequate planning. In Europe, when similar systems fail, governments tend to argue that they have not been built for high temperatures. In the Global South, initiatives like the Coalition for Disaster Resilient Infrastructure are working towards climate preparedness. Similar efforts will have to be made in Europe. This will not require a reinvention of the wheel. The technologies and materials needed exist in the Global South. A less-discussed aspect is agriculture. Unpredictable weather patterns make it difficult to plan crops, with France stating that it has lost up to one-third of its corn production. Farm animals are unable to adapt to heat stress. There are restrictions on farming activities during peak hours, and storing and transporting goods is a challenge. Farmers will need to start diversifying crop patterns. Given the strength of farmer lobbies in the EU, implementation of such plans may see pushback. For millions in the Global South, adapting to heat stress has become a way of life. As extreme heat becomes Europe’s new normal, it must also learn to build resilient societies.

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1
The writer is fellow, Centre for Social and Economic Progress



AI’s upgraded the fraudster. Let’s upgrade our defence



MIHIR MEHTA

THE MULE account has quietly become the load-bearing wall of digital fraud in India. As laundering channels multiply at machine speed, banks do not need louder alarms — they need a transaction-monitoring intelligence layer that cuts the noise and catches what matters. To understand why it has grown so dangerous, it helps to remember how much the ground beneath us has moved.

Ten years ago, banking largely meant a branch, a queue, and a passbook. Today it lives entirely on the phone, with the Unified Payments Interface (UPI) alone processing nearly Rs 30 trillion in a single month across more than 800 million digital users.

Here lies the uncomfortable corollary: Every new rail we build for legitimate money is also a new lane for illicit money.

Artificial intelligence (AI) has mechanised the entire craft. No longer is a forged signature the extent of fraud. A few seconds of audio is now enough to manufacture voice instructions from a “CFO”. Stolen data is being used to walk synthetic identities through onboarding checks. Deepfake scams are being run at a scale that has touched nearly half of all Indian adults.

The damage shows up on three fronts. Identity fraud, where the customer never truly existed. Monetary fraud, where the victim is socially engineered into pressing “send” themselves, defeating every authentication factor we built. And beneath both — the core — the mule account.

The mule is the getaway vehicle of digital crime. In a single year, agencies froze close to 4,50,000 mule accounts through which more than Rs 17,000 crore had already been routed.

The regulator has clearly heard it. The Reserve Bank of India’s (RBI) Mule-Hunter.ai, the digital payments intelligence platform being built with the National Payments Corporation of India (NPCI), and the recent discussion paper proposing deliberate “frictions” on suspi-

cious transfers all point the same way. But here is the sobering part: A rule we write on Monday is played upon by Friday.

Almost every bank and NBFC already runs a transaction monitoring system. The problem is not that these systems flag too little. It is that they flag far, far too much. Such a system does not strengthen a bank’s defences but slowly erodes its own analysts’ trust in the alert itself, until the one signal that genuinely matters is lost in the static.

This is not hypothetical. One global lender recently absorbed a penalty in the region of \$3 billion, in part because alert fatigue meant genuine signals sat unread in a queue nobody could clear. The cost of noise is not merely wasted hours. It is missed crime and consequent monetary and reputational losses.

The answer is not a louder alarm, or a larger team. It is an intelligence layer that sits on top of the monitoring system — one that stops handing the money laundering reporting officer a flat list of 48,000 alerts and starts answering the questions that matter. Which five rules are generating 80 per cent of your noise and never converting into a Suspicious

Transaction Report? Which clusters look like a mule ring assembling in real time, while funds can still be frozen?

This is the shift the next few years demand.

For those running banks and non-banking financial companies (NBFCs), the instruction is not the tired “adopt AI”. It is sharper.

Deploy intelligence at the two points where it changes the odds. First, cut the noise so your best analysts spend their scarce hours on the 5 per cent that is real rather than the 95 that is not. Second, surface the mule networks early, while money is still recoverable.

AI is now on both sides of the table. The fraudster has also picked it up. The only open question is whether our defences have. In banking, trust has always been the real moat. Protecting it is how we build a digitally inclusive and secure Bharat.

The writer is co-founder and CEO of Optimoney Technologies, a RegTech firm working on AML and compliance intelligence for banks and financial institutions. Views are personal

EXPRESS special

New Indore hospital exists only on paper, but appointments continue

Anand Mohan J
Bhopal, July 3

SIX YEARS after the Madhya Pradesh government sanctioned a 100-bed civil hospital in Indore's Khajrana area, authorities have not yet taken possession of the land allotted for it, and no building has been constructed. However, the state has been appointing doctors, nurses, pharmacists and other staff to posts created for the hospital, with the latest appointment coming just last month.

The proposed hospital was approved on June 23, 2020, and was meant to serve Khajrana and the rapidly growing localities in its neighbourhood — an area with a population of more than 3 lakh people that currently does not have a secondary care facility and relies on the already stretched government hospitals in other parts of the district. The project is currently stalled at the pre-construction stage.

What has not stalled are appointments. Over the years, staff have been appointed to 87 sanctioned posts — specialist doctors, medical officers, staff nurses, laboratory technicians and pharmacists among them. The most recent appointment to the hospital was that of a laboratory technician this June.

The result is a hospital that exists administratively — in transfer orders, sanctioned posts and staffing rosters — but not physically. Indore Chief Medical and Health Officer Dr



Indore's Chief Medical and Health Officer said the district was "working to resolve the land dispute so that construction can begin".

Madhav Hasani confirmed that land had been allotted to the Health Department but not handed over. "A 100-bed civil hospital has been sanctioned for Khajrana, along with the necessary manpower. Land has been allocated to us, but we have not yet received physical possession of it," he said, adding that the District Collector had directed the Joint Collector overseeing land matters to resolve the issue.

Deputy Chief Minister Rajendra Shukla, responding to questions on the delay, said the project remained on the government's books despite a lack of progress on the ground. "Work could not start due to the land not being available," he said.

Those appointed to posts sanctioned for the hospital have, for now, been attached to several new Sanjeevani Clinics that the government has set up. Mukhyamantri Sanjeevani Clinics are part of an urban primary

healthcare initiative of the Madhya Pradesh government. They were launched to provide free basic healthcare close to people's homes, particularly in densely populated urban areas and economically weaker settlements where access to government health facilities is limited. The state has so far sanctioned 783 Sanjeevani Clinics, which provide free consultation, tests and some medicines.

Chief Medical and Health Officer Hasani said around 85 Sanjeevani Clinics have been launched in Indore over the past two-and-a-half years, and that those appointed to the Khajrana hospital are working in these clinics for the time being.

The Khajrana hospital was originally conceived to ease pressure on Indore's major public facilities — M Y Hospital, MTH Hospital, P C Sethi Hospital and the District Hospital —

which together serve patients drawn from across the wider Malwa region, and to bring secondary care closer to residents of Khajrana, Musakhedi, Tejaji Nagar, Bicholi Hapsi and other colonies that have expanded rapidly over the past decade.

Indore district's annual health report lays bare the pressure already being faced by the existing healthcare infrastructure. According to the report, Indore's sanctioned bed strength outside its medical colleges stands at 1,240, including 300 at the District Hospital, 520 spread across eight civil hospitals, 240 across eight Community Health Centres, and 180 across 30 Primary Health Centres.

Set against a district population estimated at close to 35 lakhs, that works out to under 0.4 government hospital beds per 1,000 people — well below the two-beds-per-1,000 standard that the National Health Policy calls for.

Under Indian Public Health Standards, each of Indore's eight Community Health Centres is meant to serve a population of no more than 1.2 lakh. However, the district's population is more than three times the combined capacity those norms assume.

On the Khajrana hospital, the Chief Medical and Health Officer said the district was "working to resolve the land dispute so that construction can begin".

'Will never win genuine recognition': China on India-Japan's open Indo-Pacific stand

Divya A
New Delhi, July 3

AS JAPANESE Prime Minister Sanae Takaichi wound up her three-day India visit where New Delhi and Tokyo discussed and advocated a free and open Indo-Pacific, Beijing has said that the concept goes against the shared aspirations of regional countries.

On Friday, China's spokesperson in India, Yu Jing, highlighted the statement made by the spokesperson of China's Ministry of Foreign Affairs, Guo Jiakun, a day earlier, when talks between Prime Minister Narendra Modi and PM Takaichi were held.

"The so-called concept of 'Free and Open Indo-Pacific' goes against the regional countries' shared aspirations for peace, development and cooperation, and will never win genuine recognition," Guo said in response to a question on Takaichi's statement.

"Safeguarding post-war international order and purposes and principles of the UN Charter is the foundation of the prosperity and stability in the Asia Pacific, as well as the



Japanese Prime Minister Sanae Takaichi waves before departing for Japan after concluding her India visit, at the airport in New Delhi on Friday. PTI

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1 shared responsibility of regional countries," he said.

Guo added, "It is more imperative than ever for regional countries to uphold the right course of Asia-Pacific cooperation, work together to build an Asia Pacific that is prosperous, stable, open, interconnected, universally beneficial, inclusive, united and mutually supportive."

Meanwhile, in response to Prime Minister Modi's remarks that India and Japan will

strengthen cooperation in the area of critical minerals, Guo said on Friday that such cooperation should not target any third party or undermine its interests.

"Still less should such cooperation be used to create exclusive 'small blocs' or stoke confrontation under the pretext of cooperation," Guo said, as per the Chinese State Council Information office. He said cooperation between countries should help enhance understanding and trust among re-

gional nations and safeguard regional peace and stability.

Maintaining the stability and security of global industrial and supply chains is a shared responsibility of all countries, he noted, adding that all parties should embrace an open and cooperative mindset and play a constructive role to this end.

In the joint statement released by India and Japan on Thursday, the two sides had also expressed concern over the situation in the South China Sea and East China Sea.

Without making any direct mention of China, they reiterated "strong opposition to any unilateral actions that endanger the safety as well as freedom of navigation and to change the status quo by force or coercion".

They shared their serious concerns over the growing militarisation of disputed features, in an oblique reference to China growing military dominance in the region.

In another initiative that is aimed at countering China's growing footprint in Africa, India and Japan discussed the formulation of the Strategic Outlook for Expanding Japan-India Cooperation in Africa.

MOVE IS AIMED AT IMPROVING DISCLOSURE STANDARDS AND CURBING RAMPANT MISSELLING

Insurance regulator likely to tighten commission norms

IRDAI is working on a draft proposal to limit commission payouts by insurers to distributors

George Mathew
Mumbai, July 3

THE COUNTRY’S insurance regulator, Insurance Regulatory and Development Authority of India (IRDAI), has proposed tighter transparency norms for insurance intermediaries, asking them to disclose commission earnings to the public and the regulator.

It is also considering a cap on commissions and bringing some order to the industry, according to insurance sources.

The move is aimed at improving disclosure standards and curbing rampant mis-selling while giving regulators, policyholders and other stakeholders a clearer picture of how intermediaries make their earnings in a segment where commission-driven competition is intense.

Insurance intermediaries include agents, brokers, corporate agents, banks, web aggregators and third-party administrators. In the life insurance segment, high commission adds to the cost of policies.

In the non-life segment, for an airline with a fleet worth \$20 billion and annual premium of \$30 million, insurance commission to brokers can range

from 2.5-10%, according to sources. According to the IRDAI consultation paper issued two weeks ago, insurance intermediaries whose commission income exceeds a prescribed threshold will be required to make detailed annual disclosures to the regulator. These disclosures would include commission earnings, related-party transactions, profits generated from operations, and any dividend repatriation to promoters or parent entities.

The regulator believes that enhanced reporting will help monitor business practices and ensure that intermediary compensation structures remain transparent and aligned with policyholder interests.

The proposed framework also seeks to strengthen public accountability by mandating that such information be published on the websites of the intermediaries.

The latest proposal comes at a time when the regulator is planning to put a cap on commission earnings, a move that could disrupt the segment.

The total commission shelled out by 26 life and 28 non-life insurers crossed the Rs one lakh crore mark in FY25. The

• COMMISSION SURGE



• Total commission paid by 26 life and 28 non-life insurers crossed the **Rs 1 lakh crore** mark in FY25.

• During 2024-25, life insurers paid a total amount of **Rs 60,800 crore** as commission.

Channel <https://whatsapp.com/channel/0029Van2VRb6RGjOKH6oBd0F> gross commission expenses of public sector general insurers, private general insurers, standalone health insurers and specialised insurers stood at Rs 9,335 crore, Rs 30,498 crore, Rs 7,365 crore and Rs 67 crore respectively for 2024-25, thus cumulatively amounting to a total gross commission expense of Rs 47,266 crore for the entire non-life insurance industry, according to the IRDAI Annual Report.

During 2024-25, life insurers paid a total amount of Rs 60,800 crore as commission. The commission expenses ratio (commission expenses expressed as a percentage of premium) slightly increased to 6.86% in 2024-25 from 6.21% in 2023-24. While the IRDAI has

not yet formally proposed a cap on commissions, it is reportedly working on a draft proposal to limit commission payouts by insurers to distributors, a move enabled by the January 2026 amendment to the Insurance Act that empowered the regulator to prescribe commission ceilings.

Cut-throat competition

Insurance distribution is widely regarded as one of the most fiercely competitive segments of the financial services industry. Commission earnings in the insurance sector — particularly among intermediaries such as agents, brokers, web aggregators, corporate agents and

insurance marketing firms — have long been a subject of intense competition, especially in high-growth segments such as health, motor, corporate and retail insurance.

With many insurers offering products that are broadly similar in terms of coverage and pricing, intermediaries often place significant emphasis on commission structures, incentive payouts and other commercial arrangements when deciding which products to distribute. “As a result, insurers compete aggressively to secure access to distribution channels, frequently offering higher commissions, performance-linked incentives and other benefits to attract and retain intermediaries,” said an official.

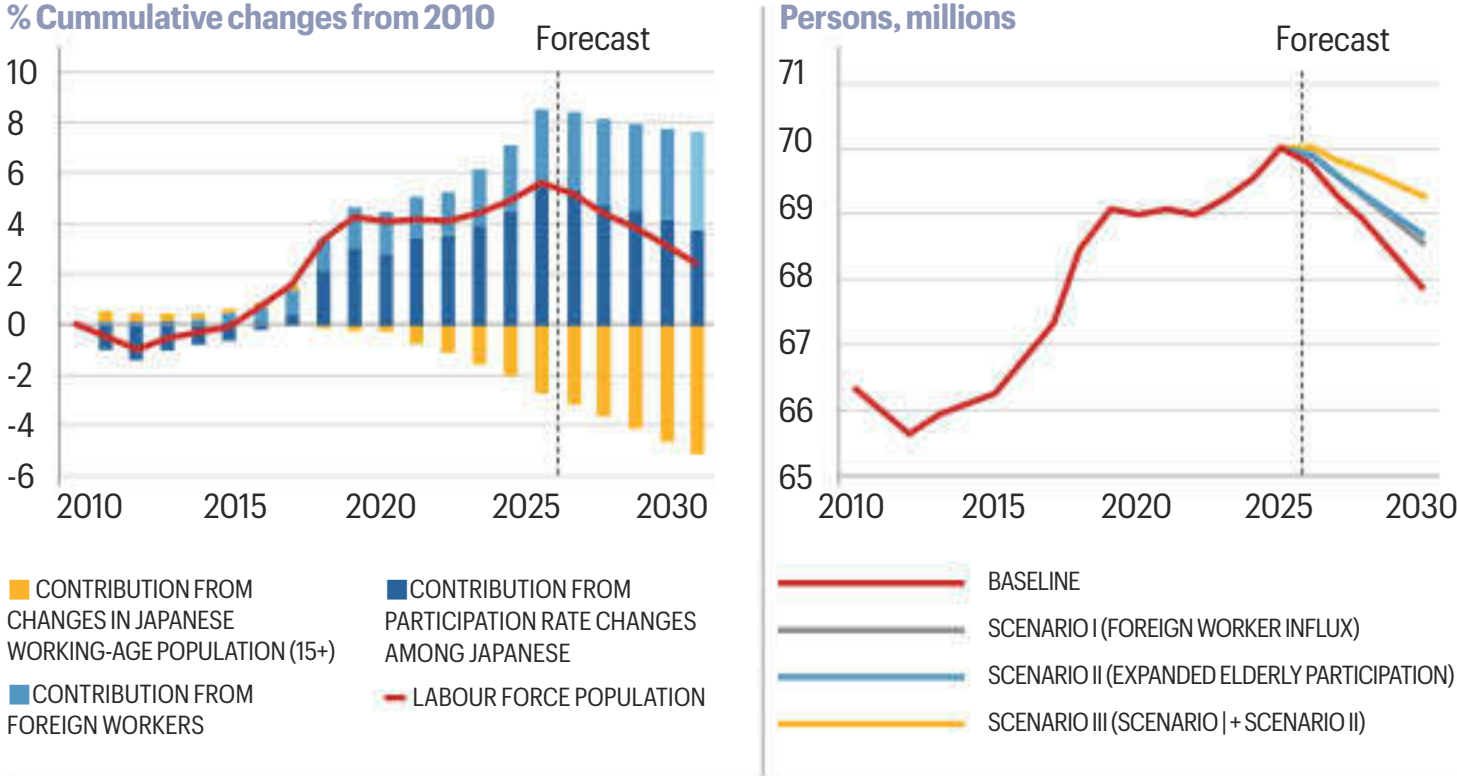
Intense race for customers

Intermediaries generally favour products that generate recurring renewal commissions, prompting strong competition to acquire new policyholders and policy contracts from big corporate clients. There is also considerable mis-selling and under-cutting by insurers to get business. The emergence of digital platforms, web aggregators and insurtech companies has further heightened competition by lowering customer acquisition costs, expanding market reach and increasing price transparency.

FULL REPORT ON WWW.INDIANEXPRESS.COM

• FOREIGN WORKERS CAN’T REPLENISH JAPAN’S WORKFORCE

Despite a record number of foreign workers, Japan’s labour force may fall by more than 10% to 61 million by 2040, according to Oxford Economics, whose economists think a decline is “inevitable even in the most optimistic scenario”.



• The size of Japan’s labour force has been increasing since 2013 — even though its working-age population has been on the decline — thanks to higher labour participation among the Japanese and a rapid increase in foreign workers.

• In 2025, the number of foreign workers in Japan increased by 300,000 to 2.6 million, crossing the 2.5-million mark for the first time.

• However, the rise in foreign workers has led to several problems: poor working conditions, illegal employment, visa overstays, and human rights concerns are increasing, while Japanese citizens are becoming less welcoming.

• Senior citizens will be key to boosting the domestic labour force, with those aged 65+ making up 30% of the population. But older workers typically work fewer hours, which limits the increase in labour input.

SOURCE: OXFORD ECONOMICS

FM SPOKE AT A PANEL TALK AT AIX-MARSEILLE UNIVERSITY, FRANCE

FM: Middle class consumption powering India’s eco growth

ENS Economic Bureau
New Delhi, July 3

FINANCE MINISTER Nirmala Sitharaman on Friday said India’s expanding middle class has emerged as the country’s engine of growth, with consumption-led demand helping the economy remain the world’s fastest-growing major economy after the Covid-19 pandemic.

The middle class is no longer merely a beneficiary of economic growth but the principal driver of it, Sitharaman said speaking on the theme ‘How to Promote the Rise of a New Middle Class?’ at the Rencontres Économiques d’Aix-en-Provence, a major economic forum, at Aix-Marseille University, France. “In India, the middle class is the engine of growth. After Covid, India remained the fastest-growing large economy primarily because of the consumption which is triggered from the middle class and turns around into a virtuous cycle generating economic activity,” she said.

The minister said India’s middle class has expanded at an average annual rate of 6.3% since 1995, following the country’s economic liberalisation. Citing OECD projections, she said India is expected to surpass China in the absolute size of its middle-class population between 2030 and 2035.

She also referred to World Economic Forum estimates showing a fundamental shift in India’s consumption patterns, with nearly 500 cities emerging as new centres of economic activity. “By 2036, 93% of all spending in India will be because of the middle class or the slightly affluent consumers,” she said. Emphasising that India’s growth is geographically broad-based, Sitharaman said the middle class is increasingly



By 2036, 93% of all spending in India will be because of middle class or slightly affluent consumers, Sitharaman said. PHOTO: @NSITHARAMAN

India and France to deepen cooperation in critical minerals

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1 **New Delhi:** India and France on Friday agreed to deepen cooperation in critical minerals, economic security, investment, financial services and high-speed rail as Finance Minister Nirmala Sitharaman and French Economy Minister Roland Lescure co-chaired the India-France Economic and Financial Dialogue (EFD) in Aix-en-Provence.

The meeting, held under the broader India-France strategic partnership, reviewed the global economic outlook and explored

ways to strengthen bilateral economic engagement. The dialogue follows the commitment made by Emmanuel Macron and Narendra Modi during the French President’s visit to India earlier this year to convene the EFD in 2026.

According to a finance ministry statement, the two sides discussed “the roll-out of the India-France cooperation on critical minerals” as part of a broader conversation on “policies towards economic sovereignty and security.” FE

concentrated in tier-II and tier-III cities rather than only in metropolitan centres, leading to a wider distribution of wealth.

Listing the government’s initiatives to expand the middle class, the minister highlighted financial inclusion through Jan Dhan accounts, saying 248 million people have moved out of multidimensional poverty, citing World Bank and IMF estimates. She said the government-backed credit guarantee

programme has enabled first-time entrepreneurs to access concessional loans without collateral, while widespread digital connectivity and digital payments have improved the creditworthiness of small businesses. Sitharaman also pointed to lower GST rates, investments in girls’ hostels, skill development in animation, visual effects, gaming and digital media, and university townships focused on training. FE

India’s services sector growth hits 17-month low in June: PMI

New Delhi: India’s services sector growth fell to a 17-month low in June as challenging market conditions and reduced client interest for some services reportedly stymied total sales and output, a monthly survey said on Friday.

Several firms indicated that challenging market conditions and reduced client interest for their services dampened sales at their units, resulting in stagnant hiring activity and lower business confidence.

The seasonally adjusted HSBC India Services PMI Business Activity Index fell to 57.4 in June, from 59.8 in May, registering the weakest upturn in 17 months.

The HSBC India Services PMI Business Activity Index — based on a single question asking how the level of business activity compares with the situation the month before — was comfortably above both the neutral mark of 50.0 and its long-run average.

Behind the softer increase in services output was the slowest expansion in new order intakes in over two-and-a-half years. PTI

• THE US REMOVED CURBS ON ANTHROPIC’S AI MODELS ON TUESDAY

OpenAI pitched US govt stake model for all AI firms

Reuters
Washington, July 3

OPENAI HAS discussed giving the US government a 5% stake, the *Financial Times* has reported, as AI firms face scrutiny in Washington over the likely misuse of advanced models and whether Americans would benefit from the industry’s massive valuations. The ChatGPT creator has proposed that other US AI firms also give Washington similar stakes, although it is unclear whether they would agree, the report said, citing two people familiar with the talks.

The move follows growing public backlash in the US over AI’s potential to cause economic

upheaval, including layoffs, and could help OpenAI sweeten ties with an administration that is increasingly taking an active role in regulating the technology.

A Trump administration request prompted OpenAI to delay the wide release of its latest AI model, GPT-5.6, last week, days after rival Anthropic suspended access to its most advanced models, including Fable 5, due to a government order to keep the technology out of the hands of foreign nationals.

The US removed curbs on Anthropic’s AI models on Tuesday. *Reuters* could not immediately verify the FT report. Alphabet’s Google declined to comment. OpenAI, Anthropic,



xAI parent SpaceX and the White House did not immediately respond to requests for comment. Half of Americans

• TECH STAKE

DONALD TRUMP has said he was exploring options to give the public a stake in leading AI companies amid concerns that Americans will not get share in sector’s profits

FORRESTER ANALYST Indranil Bandyopadhyay said a pre-IPO government stake could ease investor risk concerns about regulation in the US but may trigger similar demands from other countries

fear that the rise of AI could put them or someone in their household out of work, according to a Reuters/Ipsos poll published in

June. Managing regulatory uncertainty is critical for OpenAI and Anthropic ahead of their planned initial public offerings. Last month, President Donald Trump said he was exploring options to give the public a stake in leading AI companies, in response to concerns that individual Americans will not share in the sector’s expected profits. Left-leaning US Senator Bernie Sanders has also advocated for the government taking a 50% stake in big AI companies, arguing the technology is built on human knowledge used without permission and compensation. Forrester analyst Indranil Bandyopadhyay said a pre-IPO government stake could

ease investor risk concerns about regulation in the US but may trigger similar demands from other countries.

“Expect other jurisdictions to demand analogous arrangements as a condition of market access and expect enterprise buyers in Europe and Asia-Pacific to reassess data sovereignty and neutrality assumptions about US model providers.” The structure OpenAI executives have suggested would see leading US AI firms allot 5% of their equity to a vehicle modeled on the Alaska Permanent Fund, a state-owned corporation seeded with oil revenue that pays annual dividends to residents.